WHY NOW

Volatile markets. A clear target: 11% a year.

Equity markets have been volatile, interest rates have turned up and global risk is being repriced. Ionic Yield Enhancer targets 11% a year from carefully selected short-term corporate bonds, held at a 1–1.5 year duration.

16%
Nifty 50 swing from the January peak to the April low

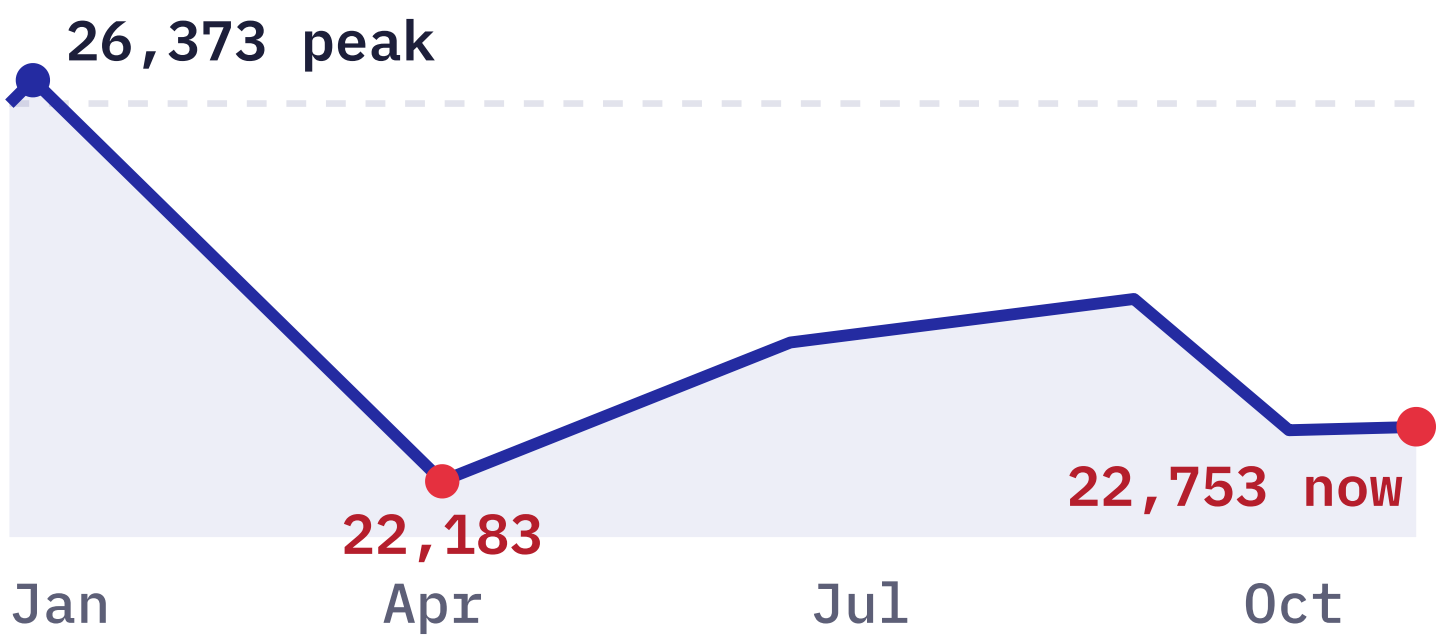
₹3.08 L cr
Record foreign selling of Indian equities, Jan–Sep

7.47%
10-yr G-Sec yield, highest since March 2023

−1.2%
Real return on a 6.25% FD after 30% tax and 5.5% inflation

FORCE 1 · EQUITIES

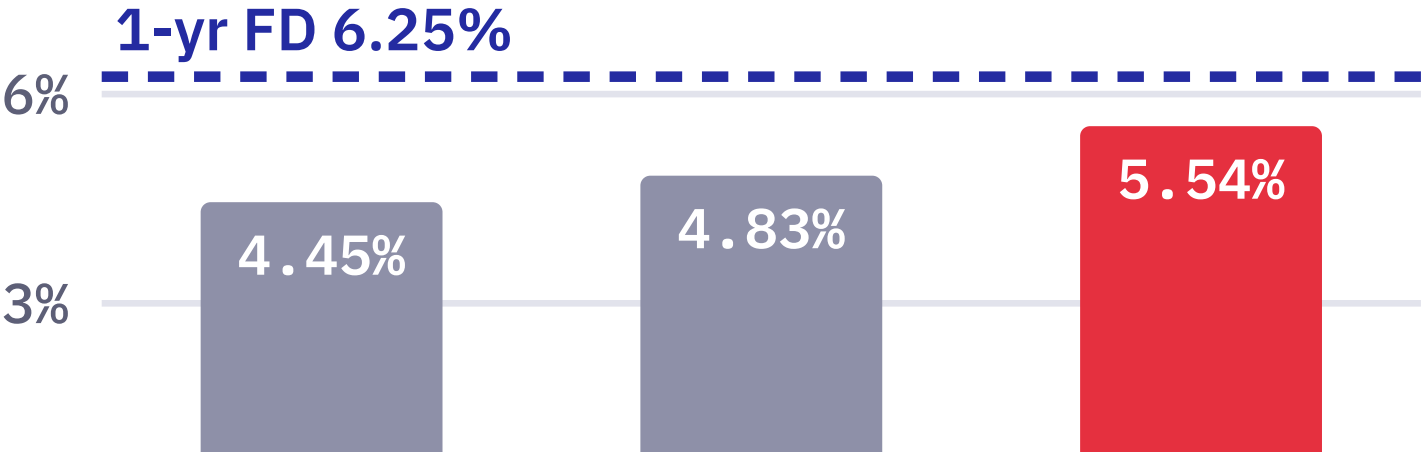
Volatile in the near term



- India VIX more than doubled, from 13.5 to 31 in March.
- FPIs sold a record ₹3.08 lakh cr; domestic investors bought ₹6.83 lakh cr.
- Nifty P/E has cooled to 19.1× vs a 22.1× median, a healthier base for long-term investors.

FORCE 2 · RATES

The rate-cut cycle is over

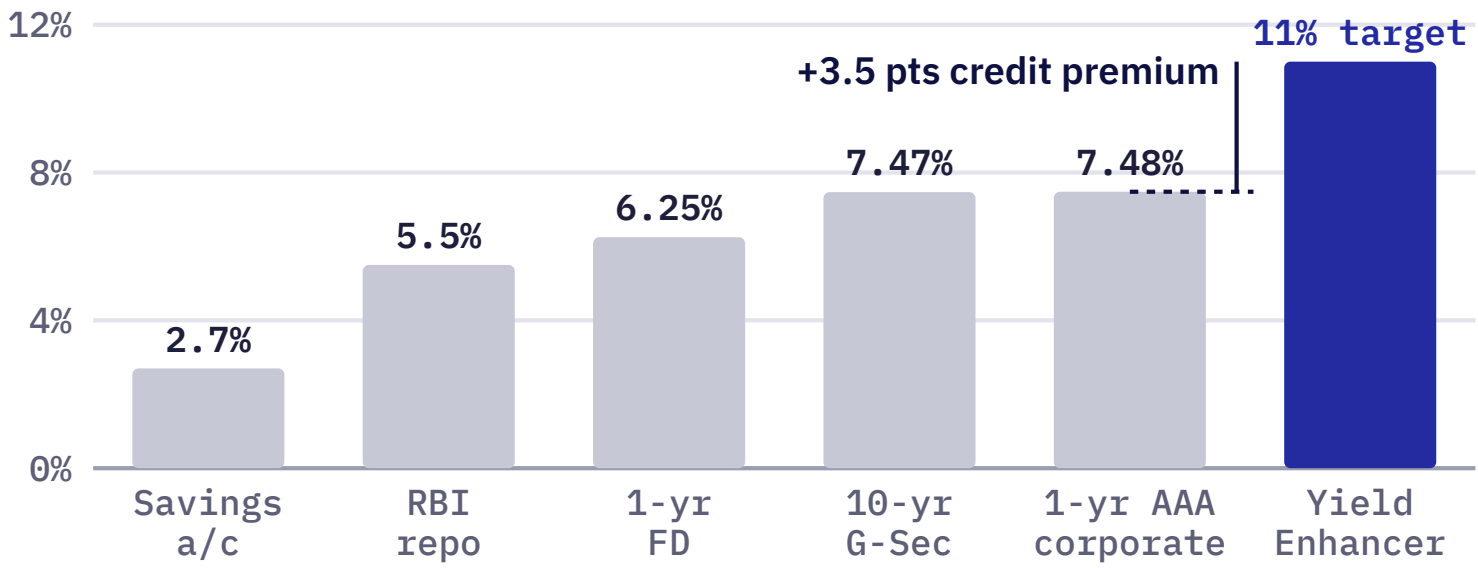


Ionic Yield Enhancer earns from what companies pay, not from what markets feel.

TARGET RETURN
11% p.a.

INVESTS IN **Short-term corporate bonds**	PORTFOLIO DURATION **1 – 1.5 years**
SELECTION **Issuer-by-issuer due diligence**	SUITS MONEY NEEDED IN **12–18 months or later**

Where 11% sits on the yield ladder



The extra 3.5 points over 1-year AAA bonds pay for credit and liquidity risk. We look for issuers where that risk is well understood and well paid.

What you keep, per ₹1 crore

	1-YR FD	YIELD ENHANCER
Pre-tax return	6.25%	**11.00%**
After tax (30% slab + cess)	4.30%	**7.57%**
After tax and inflation (5.54%)	−1.24%	**+2.03%**
Income per year, after tax	₹4.30 L	**₹7.57 L**
Years for money to double, after tax	16.5	**9.5**

Bond income is taxed at slab rates, like FD interest, so the gap carries through: **₹3.27 lakh** more a year after tax per ₹1 crore.

If rates rise another 1%: approximate price impact

